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GREECE
2004

1. Overview of the system

1.1. Average worker wage (AW)

The national currency is the Euro. The 2004 Average Worker earnings level is EUR 13819.

2. Unemployment insurance

Unemployment insurance system covers persons who are insured for health with any social security institution. Allowances are classified into regular allowances and special aids. This program is applies to salaried persons who have become involuntarily unemployed and are not able to find a job in line with their qualifications.

2.1 Conditions for receipt

The beneficiary must:

- Be capable and available for work;
- Be involuntarily unemployed;
- Be registered with an employment office;
- Not receive any pension equal to or higher than the minimum Social Security “IKA” pension;
- Not be self-employed.

2.1.1 Employment conditions

- 125 days in the last 14 months before application, or
- 200 days in the last 2 years before application.

First time-claimants need to have worked at least 80 days in the last 2 years before application.

2.1.2 Contribution conditions

The system is reciprocal. Contributions towards the OAED (Organisation for Manpower Development) are paid by both employers and workers.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Article 12 of Act 2224/94 sets the basic benefit at 40% of the daily wage or, in the case of employees, at 50% of their salary, under the constraint that the benefit will not be either lower than the 2/3 of the unskilled worker's daily wage or higher than the amount determined through a Decision of the Minister of Labour, following a proposal from the management Board of the OAED. In 2003, the minimum allowance was 10.65 Euros / day (266.25 euros per month) and the maximum allowance was 11.19 Euros /day (279.75 Euros per month).

The benefit is paid once for 25 days per month. There is a 10 per cent increase for each dependant family member.

2.2.2 *Income and earnings disregards*

None. The benefit is withdrawn if there is income from any other source, excluding the cases of occasional and part-time employment.

The payment of the unemployment benefit may be combined with a part time employment in case the monthly remuneration of the worker for his/her part-time job is less than the approved amount of the monthly unemployment benefit. But in this case, the OAED will offset the amount paid as benefit with the amount received as salary for the part-time job and it will pay the difference to the beneficiary.

In case the beneficiary's monthly remuneration for his/her part-time job exceeds the amount of the monthly unemployment benefit, the payment of the benefit is suspended due to the taking up a post. This regulation has been applied since beginning of 1990.

2.3 *Tax treatment of benefit*

Not taxable.

2.4 *Benefit duration*

After a 6 day waiting period the benefit is paid during a period which is related to the employment record:

Employment record (days)	Benefit duration (months)
125 – 149	5
150 – 179	6
180 – 219	8
220 – 249	10
Over 250	12
Over 210 and aged over 49	12

In all cases, the duration of the payment of the benefit is 12 months if the applicant has worked 4 050 days or more.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

People between 20 and 29 years of age who have never worked before are covered under the insurance scheme for payment during 5 months:

Family type	Monthly amount (in EUR)
Single	73.37
Couple	79.24
Either, in the presence of children	5.87 per child

2.5.2 *Older workers*

A pension is paid to the uninsured elderly that have exceeded their 65th year of age. This pension equals the amount of the basic pension that is granted by the Agricultural Security Fund (OGA). The OGA grants this pension as an agent of the Ministry of Employment and Social Protection. This pension amounts to:

- EUR 200.80 and is increased in the presence of a spouse or a child that is aged under 18, *i.e.*
- EUR 203.73 for a married person with a spouse that is aged less than 65.
- EUR 206.65 for a married person having a child aged less than 18.

3. **Unemployment assistance**

3.1 *Special benefits (conditions and duration)*

3.1.1 *Special Benefit after the termination of the regular unemployment subsidy*

The unemployed that are not seasonally workers receive after the termination of the regular unemployment subsidy a special benefit (a lump sum equivalent to 13 daily unemployment benefits, 13 x EUR 11.32), if they remain unemployed for an additional month and their annual income does not exceed the amount of EUR 7 043.29.

3.1.2 *Special Benefit after a 3 month stay in the unemployment records*

This benefit is paid to those unemployed who do not satisfy the conditions of regular subsidy (are not seasonal workers) and have realized at least 60 daily wages during the year prior to their registration with the OAED. They have to remain unemployed (registered with the OAED) for 3 months and their income must not exceed a set amount (EUR 7 043.29). The benefit is paid every 3 months in 3 installments (15 x EUR 11.32) in the same year.

3.2 *Income and earnings disregards*

None. The benefit is withdrawn if there is income from any other source.

3.3 *Tax treatment of benefit*

Not taxable.

3.4 *Treatment of particular groups*

3.4.1 *Young persons*

Benefit for young persons (20-29 years of age).

The benefit is paid to young persons provided that they are unemployed and remain registered in the unemployed list for one year. The benefit amounts to EUR 73 per month and is paid for a period of 5 months. The benefit aims at supporting the new entrants in the labour market.

3.4.2 *Long term unemployed*

The OAED pays a benefit to the long-term unemployed. By long-term unemployed we mean those who have been unemployed for a period of 12 months continuously and have exhausted the right to the regular 12 month subsidy. In addition, the annual family income must not exceed EUR 5 000. The said benefit is increased by the annual amount of EUR 587 for each minor child. The level of the benefit is set at the amount of EUR 200 and is paid for 12 months.

3.4.3 *Seasonal benefit*

This benefit is paid to professional categories characterized by seasonal employment (builders, tobacco workers, actors, ceramists, forest workers, musicians, etc.). The benefit is paid annually in the period 1/10-20/12. The following conditions apply:

The persons concerned must:

- Have worked 50-210 daily wages, as per case, with the related profession, in the year prior to the payment.
- Have not realized more daily wages in other professions, during the year preceding payment.
- The total days worked in any occupation must not exceed 240.
- Not satisfy the conditions for regular unemployment subsidy at the time that the seasonal benefit is paid.

3.4.4 *Workers laid off due to the insolvency of the employer*

The OAED keeps an independent account “Account for the protection of workers from the insolvency of the employer”. The purpose of this account is the payment of unpaid wages stemming from a contract or a dependant working relationship for up to 3 months. Failure of payment must be due to insolvency of the employer.

4. Social assistance

A general scheme does not exist, but there are provisions for people who are undergoing severe hardship. The Ministry of Health and Welfare applies 12 programs of financial support (subsidy) for persons with disabilities depending on the kind, the category or the disability rate.

5. Housing benefits

5.1 Conditions for receipt

Provision of rental subsidy from the Workers Housing Organisation (OEK) to unemployed persons, during the period that they receive an OAED subsidy, as well as for 2 years after the termination of their subsidy.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit amount (per month)

Family type	Benefit (in EUR)
Single person – couple	92
With 1 protected child	104
With 2 protected children	125
With 3 protected children	146
With 4 or more protected	167

From 2003, the above amounts for rent subsidy are increased by 50% per category, for the following OEK beneficiaries who participated in the 2003 rent subsidy program:

- Long term unemployed and beneficiaries who became unemployed due to their employment contract termination within 2004;
- Beneficiaries who were unemployed and have moved within 2004 from their permanent residence and found jobs to other Prefectures;
- Beneficiaries whose family income for 2003 is less than EUR 6,457.

5.2.2 Income and earnings disregards

Rent subsidy has been granted to beneficiaries whose annual net family income for 2004 did not exceed EUR 8,350, to new couples who have been married within the last two calendar years before their application for subsidy if both spouses have been younger than 35 and their income did not exceed EUR 9,150, as well as to aged persons over 60, singles, if their income did not exceed EUR 9,150.

5.3 *Tax treatment of benefit*

Not taxable.

5.4 *Benefit duration*

The program lasts for one year and the benefit is granted once as a lump sum. This program is repeated each year, if conditions for assistance continue to be met.

5.5 *Treatment of particular groups*

Granting of financial support from OEK Special Solidarity Account ('EKA') to cover for indebted installments of loans granted by banks, with interest subsidy by OEK, to beneficiaries working to employers who have become insolvent. Financial subsidy is granted for a period commencing from payment discontinuance, as per bankruptcy judgment, till employment contract termination service by the receiver in bankruptcy.

Furthermore, financial support granted by EKA has been extended to the following categories of beneficiaries who:

1. Face serious health problems, either themselves or their dependent members, as proved by their long hospitalization in public hospitals/ clinics and confirmed by their social security fund or by a certificate issued by a health board of their social security fund;
2. Are in provisional or permanent pension status, being disabled at a minimum rate of 67%;
3. Are disabled, either themselves or their dependent members at a minimum rate of 67%, as proved by a certificate issued by a health board of their social security fund or the competent Health Committees of Prefectural Administrations".

Save for the said housing allowances, in 2004, loan interest for house purchase or building has been subsidized, by banks on their own funds, with double interest subsidy (both by OEK and the Greek State). Amounts of such loans depend on the beneficiaries' annual family income and the estate value and are paid off in 15 years. Interest subsidy amount is higher for beneficiaries with lower income and is increased for each protected child. OEK interest subsidy is granted for 9 years.

Interest subsidy rates for each category of beneficiaries are as follows:

<u>Family condition</u>	<u>Income Limit</u>	<u>Subsidy rates</u>
Single	EUR 10,271.46	40%
Married	EUR 10,271.46	42%
Married + 1 child	EUR 11,738.81	49%
Married + 2 children	EUR 13,206.16	51%
Married + 3 children	EUR 14,673.51	56%
Married + 4 children	EUR 17,608.21	56%

For each protected child over 4, the said income is increased by 2,934.70 euros, whereas the subsidy rate remains unchanged.

For beneficiaries the family income of whose is over the said limits and up to the maximum limits set from time to time for interest subsidy purposes by the Greek State, subsidy rate is set to 34% for a single person, 35% for a married person, 40% for a beneficiary with 1 protected child, 45% for a beneficiary with 2 protected children, 50% for a beneficiary with 3 protected children and 56% for a beneficiary with 4 protected children and over.

In case the beneficiaries' annual net family income or the estate objective value exceeds maximum limits, set respectively upon resolutions of the Ministers of National Economy and Finance from time to time and their loan interest is not subsidized by the Greek State, then it shall be subsidized by OEK.

The loan amount for which OEK shall subsidy interest for, is the one deriving from the maximum limits set for family income by the Greek State in excess of 25% thereof.

Subsidy rates for the said category are set as follows:

<u>Family condition</u>	<u>Subsidy rates</u>
Single	35%
Married	36%
Married + 1 child	42%
Married + 2 children	47%
Married + 3 children	52%
Married + 4 children	85%

Beneficiaries of all the above categories, the estate of whom has an objective value less than the loan amount deriving from their annual net family income, shall be granted with the entire loan amount that they are entitled to, on the basis of their income, if the 80% of the estate commercial value covers the amount of the loan granted. In this case, if beneficiaries wish, their loan interest shall be subsidized only by OEK at a rate increased by category as follows:

<u>Family condition</u>	<u>Subsidy rates</u>
Single	56%
Married	58%
Married + 1 child	67%
Married + 2 children	72%
Married + 3 children	79%
Married + 4 children	85%

6. Family benefits

There exist a general scheme and employer supplements.

6.1 Conditions for receipt

Children must be under 18 years of age, or 22 if in education. They must be single and residing in either Greece or another EU member state. The conditions for the payment of the family benefits are the realisation of 50 days of work during the time prior to the application.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit (per month)

Family situation	Benefit (in EUR)
General scheme	
1 child	8.22
2 children	24.65
3 children	55.47
4 children	67.35
for each additional child	11.298
plus: for each child born after 1 January 1982	2.93
Special allowance for large families	
3rd child (until he/she is 6 years old)	149.63
Families with 4 or more children	37.41
(Life) Pension for a mother with many children	86.05

The employer usually grants 5 per cent of gross earnings to each individual worker (married or not) for each child plus 10 per cent for the spouse. The spouse allowance is independent of her employment and/or income.

6.2.2 Income and earnings disregards

6.3 Tax treatment of benefit

General scheme: Not taxable.

The employers' benefit is added to gross income before taxation.

The benefits for the 3rd child and for 4 or more children are taxed at 10 per cent separately from other income, and they may be included in the tax return statement and be taxed according to the general provisions of article 9, Act 2238/1995 (par. 4, Article 57, Act 2238/1994).

6.4 *Treatment of particular groups*

The benefits are increased in the case that the beneficiary is a widower or has a disabled spouse who is executing his military service.

Maternity Benefits: these are financial provisions that are granted due to maternity to the working women that are not able to claim them from an insurance fund or are uninsured. They are granted for the time period of 6 weeks before birth and 6 weeks after birth and aim at ensuring a satisfactory level of living. The benefits amount to EUR 440.20 (EUR 220.10 before birth and EUR 220.10 after birth).

Program for the support of unprotected children: through this program a monthly benefit of EUR 44.02 is paid to each unprotected child up to the age of 16, on condition that the monthly income of the family with which the child stays does not exceed the amount of EUR 234.78 for a 3-member family (increased by EUR 20.54 for each member after the third).

7. **Childcare for pre-school children**

Public child care in Greece exists in several forms. Public Day Care and Nursery Stations care for children age 2 ½ up to Primary School, and Kindergartens care for children age 8 months up to Primary School. Kindergartens are designed for the convenience of working parents and financially poor families, and give precedence to children who need special social care, due to social reasons (e.g. orphan children, single mothers' children, children of divorced or separated parents, families with many children, children of disabled parents etc). These centres are for the most part administered at the local level, following guidelines provided by the national government. There also exists private centres, which are subject to similar rules and regulations as the public centres.

For further details see annex 1.

7.1 *Out-of-pocket childcare fees paid by parents*

For improving children's living conditions and services rendered to them, parents paid boarding fees, depending on their family income.

National guidelines for 2004 suggest monthly boarding fees as follows:

Family income (in EUR)	Boarding fees (in EUR)*
Up to 5 898.41	Free of charge
5 868.41 – 8 804.11	20.54
8 804.11 – 11 738.81	26.41
11 738.81 – 14 673.51	35.22
14 673.51 – 17 608.22	44.02
17 608.22 – 20 542.92	52.82
Over 20 542.92	64.56

* For the 2nd child, half fees are paid

Families with more than 3 children and disabled parents (over 67 per cent) are released from the obligation of payment of boarding fees, for income up to EUR 20 542.92 (for incomes above EUR 20 542.92 the fee for the third child is EUR 20.54 and EUR 10.27 for any further children).

7.2 *Child-care benefits*

15% of fees paid for child and infant centers may be (deducted from gross income before tax) if at least one spouse has an income from salaries or pensions: the amount the deduction may not exceed 75€.

8. **Employment-conditional benefits**

None.

9. **Lone-parent benefits**

There is a flat-rate allowance for children who are not supported. Please refer to the family benefits.

10. **Tax system**

10.1 *Income tax rate schedule*

10.1.1 *Tax allowances and credits*

Standard tax reliefs

- *Reliefs for social security contributions:* contributions to public pension funds are not regarded as taxable income.

Main non-standard tax reliefs

These reliefs are related to actual expenses incurred, subject to a ceiling.

- 15 percent of the expenses for medical and hospital care for the taxpayer and their dependents up to a maximum amount of EUR 6 000.
- 15 percent of the total annual amount of rent paid for the main residence, provided that the taxpayer does not own a house with an area equal to or larger than the rented house in the same prefecture and that the taxpayer does not receive a rent allowance from the State to a maximum of EUR 1 000.
- 15 percent of the expenses incurred by the taxpayer or his dependent children paid to private schools or private language institutes up to a maximum of EUR 1 000.

- 15 percent of the annual mortgage interest on a taxpayer's principal residence on loans obtained as from the 1st of January, 2003. The relief is limited where the financed amount exceeds EUR 200 000.
- 15 percent of the annual expenses of the household excluding the expenses listed above and expenditures on electricity, water, telephone, food and beverages purchased from supermarkets and some other minor items. There must be at least one person receiving wage or pension income to claim this benefit. The total tax credit can not exceed EUR 75 for both single and married taxpayers. Where both spouses have employment/pension income, the credit is split between them according to their declared income.

10.1.2 *The definition of taxable income*

Gross income minus tax allowances.

10.1.3 *The tax schedule*

Basic rate schedule

Income bracket (EUR)	Tax rate (%)
10 000	0
13 400	15
23 400	30
Excess	40

Beginning in 2003, the tax credits previously provided for dependent children have been replaced with a wider band of non-taxable income that is provided to individuals with employment income and dependent children. The non-taxable bracket of income for individuals with dependent children is increased by EUR 1 000 to EUR 11 000 where there is one dependent child, by EUR 2 000 to EUR 12 000 where there are two dependent children, by EUR 10 000 to EUR 20 000 where there are three dependent children and by a further EUR 1 000 for each subsequent dependent child. The subsequent brackets are correspondingly adjusted. It should be noted that a tax credit of EUR 30 is provided for each dependent child of taxpayers with employment income who live at least nine months in certain border areas or specified islands.

10.2 Treatment of family income

Married persons are taxed separately on their own income, but they are required to file a joint tax return.

10.3 *Social security contribution schedule*

The average rate of contributions paid by an employee as a percentage of gross earnings are as follows:

- Social Insurance Organisation (IKA): 9.22 per cent.
- Subsidiary Social Insurance Fund (TEAM): 3.00 per cent.

- Other Funds: 3.78 per cent.

Contributions to IKA are calculated as percentages on the basis of salary (or wages) paid but within the limits specified in the National General Collective Employment Agreement. A cap applies of EUR 24 699 per year. However, for individuals who were insured for the first time after 1 January 1993: IKA contributions are calculated on the basis of the actual total amount of their salaries (wages), independently of the maximum insurance class limit. For the purposes of the calculations contained in this Report, it is assumed that the cap does not apply.

As regards insurance contributions in favor of 'IKA-TEAM' (Ancillary insurance fund) their rates have not differentiated. Ancillary insurance bodies in our country currently cover 2,590,000 employees. This number includes mostly salaried employees and certain categories of self-employed, being a very small percentage of the said total. 92% of this number, i.e. 2,383,000 insured persons pay contributions to the said funds amounting to 3% of their gross monthly earnings.

11. Part-time work

11.1 *Special benefit rules for part-time work*

An increase of 7.5 per cent is set on the earnings of part-time workers that work for less than 4 hours daily.

This provision aims at supporting those who have few hours of part-time employment and favours the greater participation in the labour market of mainly the young workers and the female workers, for whom this type of employment is the only one possible, due to educational, family or other obligations.

A precondition for the application of this provision is that the part time employed persons receive the determined minimum compensation as provided for by law.

11.2 *Special tax and social security contribution rules for part-time work*

None.

Further alignment of unemployment assistance and insurance benefits; the introduction of a general social assistance scheme.

12. Policy developments

None

ANNEX – ADDITIONAL INFORMATION ON NURSERIES

The Ministry of Health and Social Solidarity has established and financed (from the State Budget) a total of 1,306 Public Day Care and Nursery Stations, with a capacity of 78,000 pre-school children (aged 2 ½ years' old till their matriculation with Primary School) and 132 Kindergartens with a capacity of 10,000 children aged 8 months' old till their matriculation with Primary School, for the convenience of working parents and financially poor families, giving precedence to children who need special social care, due to social reasons (e.g. orphan children, single mothers' children, children of divorced or separated parents, families with many children, children of disabled parents etc).

Possibility of establishment of State Day Nurseries and Kindergartens has been given according to article 13 of Coercive Act No. 2-11-1935 on "National Day Nurseries" (Government Gazette 527/A). For their establishment, a Presidential Decree was necessary upon the proposals of jointly competent Ministers. For improving children's living conditions and services rendered to them, parents paid boarding fees, depending on their family income.

It should be noted that State Day Nurseries and Kindergartens have ipso jure come into Local Administration, according to the provisions of article 12, Act 2880/01 (GG 9/A/30-1-2001) and they are now operating as municipal and communal Public Law Legal Entities (article 203, P.D. 410/95 [Communal and Municipal Code]).

The operation of new Municipal Legal Entities is regulated by their by-laws which are prepared by the competent Municipal or Communal Councils on the basis of the Model By-Laws issued upon a resolution passed by the Ministers of Interior and Health & Welfare, as approved by the Secretary General of the Region.

The Ministry of Interior, Public Administration and Decentralization (Local Administration Organizations Directorate) is competent for supervision and control of the said Municipal Legal Entities.

It is noted that by virtue of Act No. 2920/2001 (GG 131/A) an Inspectorate of Health & Welfare has been established within the Ministry of Health, which may, among others, intervene in Local Administration authorities that provide health services in the Welfare sector, to identify quality and sufficiency of premises, equipment and the taking of the necessary safety measures for children and personnel healthy living.

Furthermore, 164-Day Nurseries and Kindergartens operated by bodies supervised by the Ministry of Health and Social Solidarity ('PIKPA', 'EOP', 'MITERA', Institute of Day Nurseries in Athens, Thessaloniki, Larissa), funded by the State Budget.

Such nurseries, according to article 8, Act 3106/10-2-03 (GG 30/A) "Reorganization of the National Social Care System" have been transferred to municipalities and communities to the administrative region where they operate.

Personnel working in the said nurseries is engaged according to the procedures applicable from time to time for personnel hiring in the public sector.

39-day nurseries have been established and operate by Charity associations (non profit), some of which is symbolically subsidized by the State Budget.

Approx. 1090 private day nurseries and kindergartens operate as private enterprises.

Nurseries that have been established by Charity associations and private day nurseries and kindergartens, operate under related licenses issued upon the Prefect's resolution, according to requirements set in Ministerial Decision No. Π2β/οικ.2808/97 (GG645/B/97), as amended and later complemented.

Engagement of personnel is carried out by the natural or legal person-license holder and is approved by the Directorate or the Department of Social Welfare at the competent Prefectural Administration. Supervision of good performance of such units is carried out by the competent services of Prefectural Administration, according to the provisions of article 1, Act No. 2345/95 (GG 213/A/95).

Finally, you are hereby advised that according to Joint Resolution No. 4036/2001 (GG 1128/B/2001) rendered by the Ministers of Interior, Public Administration & Decentralization, Employment & Social Security and Health & Welfare, as later amended, Regional Operational Programs and the Operational Program entitled "Employment and Vocational Training" as approved in the frame of the 3rd Community Support Framework, include actions (for ROP) for the establishment of new structures and/or departments in existing structures of day nurseries (infants with special needs) and/or day care centers and/or children's creative centers and/or creative centers for children with special needs, and actions (for OP "Employment and Vocational Training") on the continuance and/or expansion of operation of existing structures co-funded by the ESF in the frame of the 2nd CSF.

Competent bodies for the management and implementation of the said actions are the special management services in the Regions of the country, according to Act 2860/2000 (GG261/a/2000), to which the related applications of final beneficiaries (Local Administration Organizations, inter-municipal enterprises, civil companies established by LAO aiming at social development or welfare or similar to such objectives) are submitted.